

Euro stablecoins and their potential effect on sovereign bond markets

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Stablecoins denominated in US dollars have attracted considerable attention in the context of their growing influence in US Treasury markets. However, the potential effects of euro-denominated stablecoins on euro area sovereign debt markets have been less explored, partly owing to their currently limited market presence. This article explores how the growth of euro-denominated stablecoins could affect demand for euro area sovereign bonds. By determining the pass-through rate of stablecoin demand to sovereign bond holdings by way of several illustrative examples, we demonstrate how the effect varies based on whether stablecoins are issued by banks or e-money institutions (EMIs), on the composition of stablecoin reserve assets, and on the liquidity management preferences of banks and EMIs. Moreover, the net effect hinges on the sectoral origins of stablecoin inflows, which vary according to what stablecoins are, and will be, used for. We also argue that on the one hand, the deposit requirement for EMIs set out in the European Union's Markets in Crypto-Assets Regulation (MiCAR)^[1] can act as a liquidity buffer during periods of stress, reducing the likelihood of immediate sales of other reserve assets, on the other hand it could also transmit stress arising from a stablecoin run to the banking system.

1 Introduction

US dollar stablecoin issuers have started to play an important role in US Treasury markets, as US

Treasuries serve as reserve assets to back the stablecoins' value.^[2] The stablecoin market is dominated by stablecoins referencing the US dollar, backed primarily by US dollar-denominated reserve assets such as US Treasury bills. Existing research has focused on the impact of stablecoin reserve assets on the US Treasury markets (Ahmed and Aldasoro, 2025; Kim, 2025; and Davidovic et al., 2025) as well as on the US commercial paper market (Barthelemy et al., 2026). So far, the implications of euro-denominated stablecoins for euro area sovereign bond markets have been underexplored, as this market is still nascent.

This article explores how the growth of euro-denominated stablecoins could affect euro area sovereign bond markets. First, we establish a “pass-through rate” of stablecoin demand to sovereign bond holdings. We define the pass-through rate as an indicator that measures the extent to which sovereign bond holdings are influenced – either directly or indirectly – by stablecoin demand. This is expressed as an elasticity that quantifies how a change in stablecoin demand affects sovereign bond holdings. Using several illustrative examples, we argue that this pass-through rate depends on whether stablecoins are issued by banks or e-money institutions (EMIs), on the composition of stablecoin reserve assets and on the liquidity

management preferences of banks and EMIs. Second, we explain how the impact of stablecoin adoption on sovereign bond demand does not only depend on this pass-through rate, but also on the sectoral origins of stablecoin inflows linked to (future) use cases and possible offsetting effects resulting from the reallocation of funds from other sectors to stablecoins. Lastly, we explore how large stablecoins with significant holdings of euro area sovereign debt would increase the interlinkages between the crypto-asset ecosystem and traditional finance, amplifying potential spillover risk and contagion effects in times of crisis.

2 Stablecoin issuers' potential sovereign bond holdings

The growth of euro-denominated stablecoins could affect euro area sovereign bond markets, since sovereign bonds can serve as reserve assets. This article focuses on single currency euro-denominated stablecoins classified as e-money tokens (EMTs) under MiCAR. The Regulation requires such stablecoin issuers to hold at least 30% (60% for significant issuers) of their reserve assets with credit institutions, while the remainder must consist of low-risk highly liquid financial instruments, such as sovereign bonds (see Box A for an overview of MiCAR regulatory requirements for stablecoin issuers). As of January 2026, euro-denominated stablecoins have a modest market capitalisation of around €450 million, up from €50 million at the beginning of 2024.^[3] However, there is potential for expansion, especially when these figures are compared with US dollar-denominated stablecoin market capitalisation, which stands at around USD 300 billion.

Significant growth in the market capitalisation of euro-denominated stablecoins, albeit starting from a very low base, could turn issuers of these stablecoins into meaningful participants in the euro area sovereign bond market. The clear guardrails established under MiCAR, which have been fully implemented since the end of 2024, may have already contributed to the increasing demand for euro-denominated stablecoins. Further growth potential stems from stablecoins' potential benefits in several areas, such as payment use cases with a cross-border dimension^[4], and the role stablecoins will play as a private tokenised settlement asset if distributed ledger technology (DLT) is adopted more widely across the financial system.^[5] The US experience has shown how rapidly the stablecoin sector can grow, which could be especially the case if large financial institutions enter this market. One major EU bank is already issuing a stablecoin, while twelve other large EU banks have formed a consortium to launch a shared euro denominated stablecoin. These private sector projects will also be supported by Eurosystem initiatives, which aim to enable new technologies for wholesale central bank money settlement and to provide a trusted public settlement asset in tokenised form in euro.^[6]

2.1 The role of issuer type

The type of entity that issues a stablecoin is a key determinant of its potential future sovereign bond holdings. Under MiCAR, euro-denominated stablecoins can be issued by a credit institution or entity authorised as an EMI.^[7] The prudential requirements, including for reserve assets, differ depending on the type of stablecoin issuer, thereby affecting the pass-through rate of stablecoin adoption to sovereign bond holdings (Box A).

Box A

Comparing e-money token issuance by banks and non-banks

Prepared by Nico Di Gabriele

In the European Union (EU), e-money tokens (EMTs) are a type of crypto-asset that purports to maintain a stable value by referencing the value of one official currency. The emergence of distributed ledger technology has enabled traditional e-money regulated under EU legislation since 2000 – to be recorded on distributed ledgers, transforming them into EMTs. Under the Markets in Crypto-Assets Regulation (MiCAR)^[8], EMTs can only be issued by credit institutions or electronic money institutions (EMIs).

The requirements for stablecoin issuers vary depending on the type of licence they hold (Table A). EMIs are required to maintain at least 30% (60% for significant issuers) of their funds in segregated accounts at credit institutions (which book such funds as liabilities) and must invest the remainder in low-risk assets such as sovereign bonds or extremely high-quality covered bonds, following the asset-backed model. In contrast, credit institutions back their EMT liabilities with their entire balance sheet, adhering to the “balance sheet model”. When a bank uses a subsidiary holding an EMI licence to issue a stablecoin, the subsidiary must use the “asset-backed model”.

Banks may have different reasons for using either the asset-backed model by issuing through an EMI subsidiary or the balance sheet model, such as reputational aspects or compliance

costs related to the risk management or prudential requirements.^[9] For instance, the balance sheet model does not constrain how banks invest the proceeds from EMT issuance under the MiCAR requirements. Instead, banks’ investment decisions are guided by their prudential requirements, primarily the liquidity coverage ratio (LCR) and the net stable funding ratio (NSFR), risk appetite and profitability considerations. Notably, there is significant overlap between the list of assets eligible for inclusion in an EMI’s reserve assets and a bank’s high-quality liquid assets (HQLA).^[10] From an own funds perspective, there is no substantial difference between a bank issuing a stablecoin directly or through a fully owned EMI.^[11] However, issuing through an EMI could cause some inefficiencies in the allocation of capital within a banking group. For example, when an EMI issues a significant stablecoin, it is required to hold own funds equal to 3% of the issuance and comprised exclusively of CET1 capital, while at consolidated level, the parent bank’s 3% leverage ratio can be composed of Tier 1 capital (which can include both CET1 and AT1 instruments). From a risk-weighted assets perspective, this means that a bank issuing a stablecoin directly and using the proceeds for purchasing euro denominated government bond can achieve a more efficient capital base at solo level compared to when the bank issues through an EMI. In case of direct issuance, the bank would apply a zero risk-weight^[12] on the government bonds purchased (for an amount equal to the issuance) and would only be bound by the leverage

ratio requirement; in case of issuance through a subsidiary, at solo level the bank will have to apply a risk-weight equivalent to the exposure represented by its shareholding in the subsidiary.

Table A

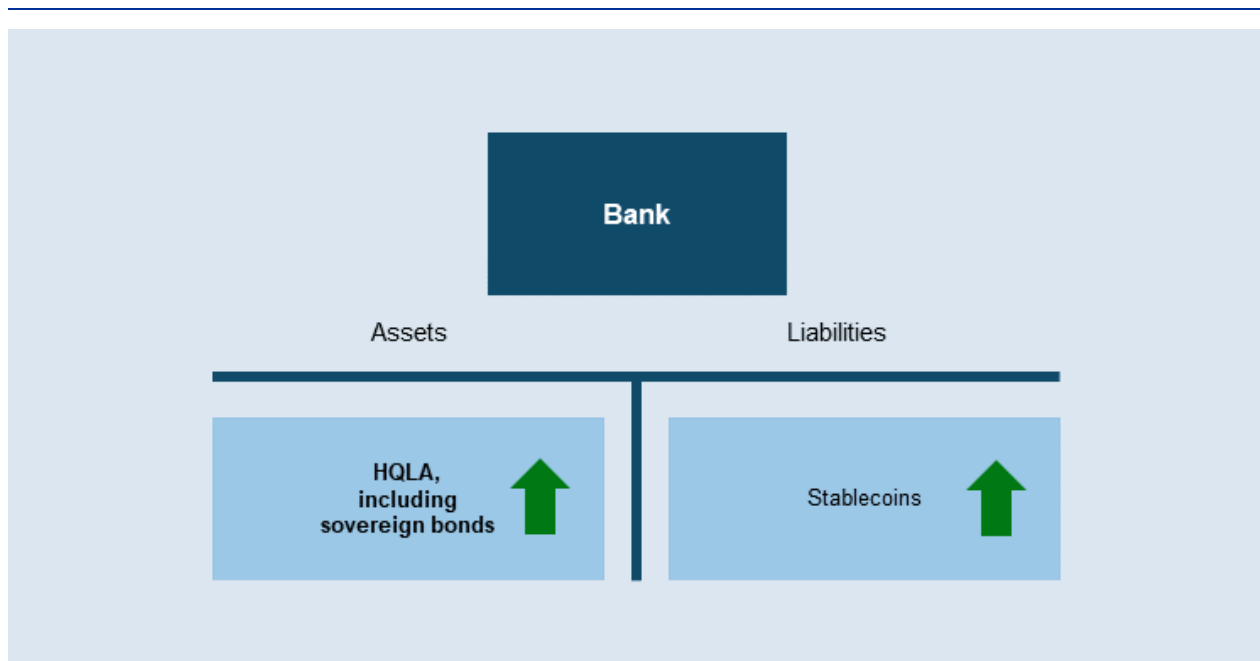
Comparison between balance sheet and asset-backed model

	Balance sheet model	Asset-backed model
Entity applying the model	Default solution applied by credit institution	Default solution applied by non-bank stablecoin issuers
Status of the assets	Assets are part of the issuer's general estate	Assets are segregated from the issuer's general estate
Relationship between assets and liabilities	No specific relationship exists between the issuer's assets and stablecoin liabilities	Requires a one-to-one relationship between assets and stablecoin liabilities
Investment of issuance proceeds	Issuers enjoy large discretion	Reserve to comprise solely of assets permitted by MiCAR
Extending loans	Possible	Not possible
Leveraging	Possible	Not possible
Token holder's creditor hierarchy	Token holders rank pari passu with other creditors	Token holders with exclusive claim over reserve of assets and possible claim on issuer's general estate
Capital requirement	(Risk weighted) total capital ratio 8% + prudential buffers 3% leverage ratio	2% (or 3%) of the amount of reserves; possible additional stress-test requirements

Banks issuing stablecoins may increase their sovereign bond holdings to keep regulatory liquidity metrics stable, depending on their risk appetite. When banks issue stablecoins directly on their own balance sheets, MiCAR does not impose additional requirements on their reserve assets. However, a bank's liabilities resulting from stablecoin issuance are subject to a 100% outflow rate under the liquidity coverage ratio (LCR) framework if the stablecoin holder cannot be identified.^[13] This means that, all else being equal, issuing stablecoins would lower a bank's LCR. To avoid an unwarranted decrease in its LCR, the bank would need to increase its holdings of high-quality liquid assets (HQLAs), including sovereign bonds (**Figure 1**).^[14]

Figure 1

Stylised balance sheet implications of stablecoin issuance by banks targeting a constant LCR

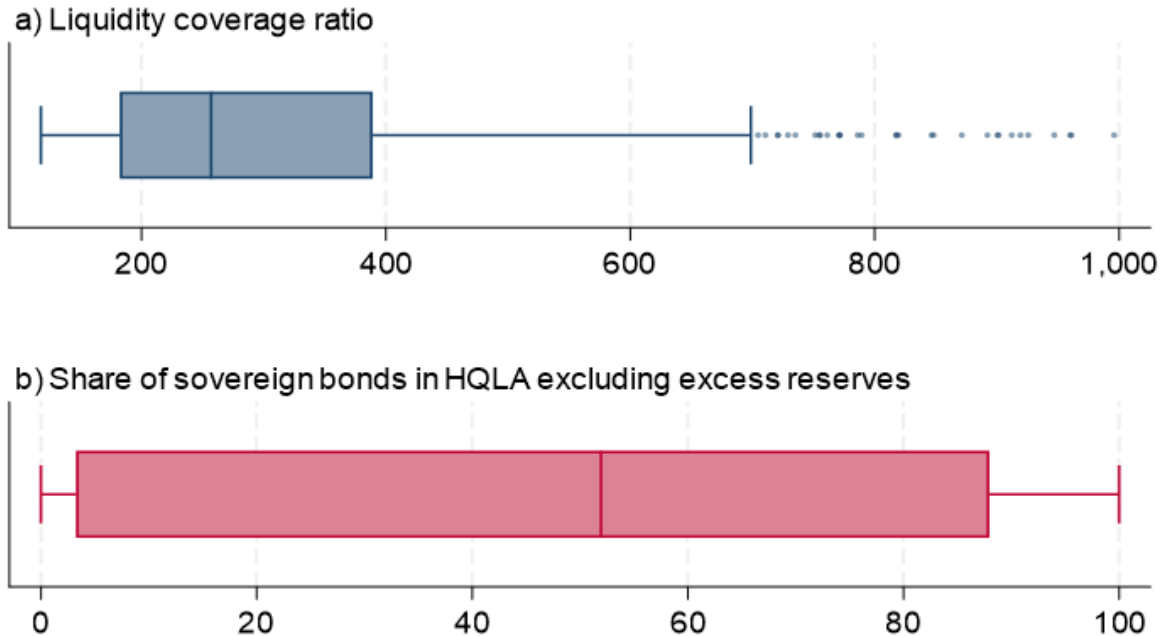


Note: This figure illustrates a stylised balance sheet adjustment by a bank that issues stablecoins and targets a constant LCR.

The extent to which banks issuing stablecoins increase their holdings of sovereign bonds depends on their liquidity management preferences. LCR levels among banks vary considerably, as does the proportion of sovereign bonds as part of banks' HQLA portfolios (see **Chart 1**). This implies that, for example, a stablecoin-issuing bank targeting a higher LCR level may increase its sovereign bond holdings more than a bank targeting a lower LCR level. Similarly, a stablecoin-issuing bank with a preference for sovereign bonds as HQLA would have a higher demand for sovereign bonds compared with a bank that prefers other types of HQLA.

Chart 1

Heterogenous liquidity management preferences of euro area banks

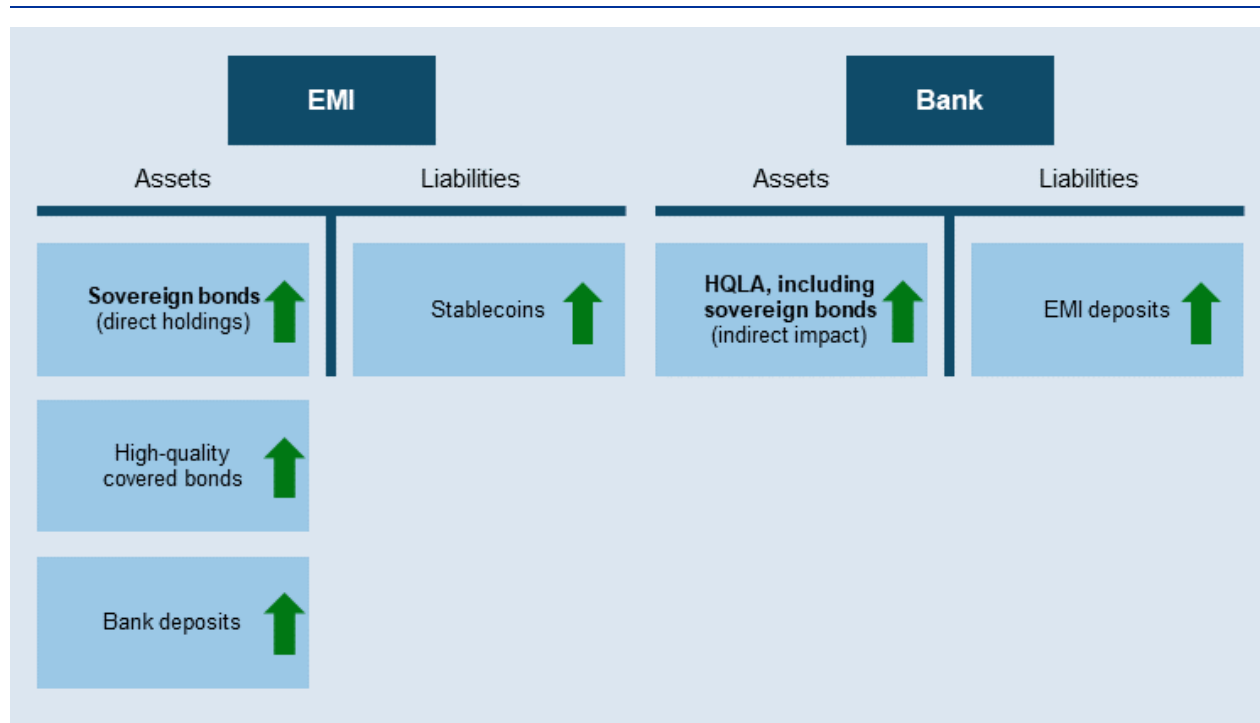


Source: ECB calculations based on supervisory statistics. Notes: This chart presents a boxplot of the LCR level and the share of central government assets in HQLA across banks for Q1 2025. The sample is from Q1 2025 and includes 1,871 banks. The balance sheet indicators of banks which are part of an institutional protection scheme are consolidated. The box represents the interquartile range (25th–75th percentile), the line inside the box is the median, the whiskers extend to the furthest non-outlier values, and any dots beyond the whiskers are outliers.

For EMIs issuing stablecoins, potential future sovereign bond holdings depend on the approach taken to allocating reserve assets, subject to the constraints outlined in MiCAR. The sovereign bond holdings of EMIs issuing stablecoins consist of a direct and indirect component (**Figure 2**). First, issuers could have direct holdings of sovereign bonds on their own balance sheets. Second, EMIs may indirectly affect sovereign bond holdings via the deposits they place in the banking sector: deposits that banks receive from EMIs would be subject to a 100% outflow rate, lowering the recipient banks' LCR, all else being equal. Banks that seek to keep their LCR unchanged when receiving stablecoin issuers' deposits may respond by increasing their HQLA holdings, including sovereign bonds, similarly to the previous case of bank-issued stablecoins.

Figure 2

Stylised balance sheet implications of stablecoin issuance by an EMI when a bank targets a constant LCR



Note: This figure illustrates one possible stylised balance sheet adjustment by an EMI that issues stablecoins and a bank that receives EMI deposits and targets a constant LCR.

2.2 Illustrative examples for different types of stablecoin issuers

We present seven illustrative examples to analyse the varying pass-through rates of stablecoin adoption to stablecoin issuers' sovereign bond holdings. The illustrative examples cover possible variation across stablecoin issuer types and reserve compositions, as these factors influence the pass-through rate, focusing on corner scenarios for ease of exhibition.^[15] Table 1 presents our illustrative examples, showcasing the currently observed market capitalisation of the three largest euro-denominated stablecoins, three examples of EMI-issued stablecoins that represent variations in permitted reserve asset composition, and three examples of bank-issued stablecoins that reflect differing approaches to liquidity risk management.

Table 1

Scenarios for types of stablecoin issuers and balance sheet policy

Example	Issuer type	Balance sheet policy
Observed	Mix of EMI (EURCV and EURC) and bank (EURI)	EURCV: 100% bank deposits EURC: 100% bank deposits EURI: bank balance sheet model
Deposit-backed EMI-issued stablecoin	EMI	100% backed by deposits
Sovereign bond-backed EMI-issued stablecoin		60% backed by deposits and 40% by sovereign bonds
Covered bond-backed EMI-issued stablecoin		65% backed by deposits and 35% by covered bonds
Liquidity risk averse bank-issued stablecoin	Bank with a relatively high LCR target and high share of sovereign bonds in HQLA portfolio	Targeting a constant LCR and proportion of sovereign bonds in HQLA
Median liquidity risk bank-issued stablecoin	Bank with a median LCR target and median share of sovereign bonds in HQLA portfolio	
Liquidity risk seeking bank-issued stablecoin	Bank with a relatively low LCR target and low share of sovereign bonds in HQLA portfolio	

Notes: The covered bond-backed EMI-issued stablecoin example includes the maximum share of covered bonds permissible under MiCAR (35%). This may not be an unlikely scenario in the euro area considering that extremely high-quality covered bonds represent a significant part of euro area banks' HQLA. A "relatively high LCR target" is set equal to the asset-weighted 80th percentile of current LCR levels, and a "high share of sovereign bonds in HQLA portfolio" is equal to the asset-weighted 80th percentile of observed values. A "relatively low LCR target" is set equal to the asset-weighted 20th percentile of current LCR levels, and a "low share of sovereign bonds in HQLA portfolio" is equal to the asset-weighted 20th percentile of observed values. The "median liquidity risk bank" holds the median level of HQLA and sovereign bonds. When calculating the share of sovereign bonds within the HQLAs held by banks, we exclude excess reserves from the HQLA stock.

2.3 The pass-through rate from stablecoin adoption to sovereign bond holdings

We assess how the potential future adoption of euro-denominated stablecoins can affect sovereign bond markets by calculating the rate of pass-through from stablecoin adoption to issuers' sovereign bond holdings. We define the pass-through rate as an indicator that measures the gross impact of stablecoin adoption on sovereign bond holdings, expressed as an elasticity. For example, a pass-through rate of 0.5 implies that sovereign bond holdings associated with stablecoin adoption would be half the size of the increase in stablecoin issuance. The pass-through rate can be used to calculate the impact on the euro area sovereign bond market resulting from any estimate of future stablecoin adoption. Calculating the pass-through rate requires several simplifying assumptions. We assume that (i) EMIs distribute their deposits across all significant institutions (SIs) proportional to the SI's total assets; (ii) all SIs who receive these deposits maintain a constant LCR level and a constant proportion of sovereign bonds in their HQLA portfolios (excluding excess reserves); and (iii) banks that issue stablecoins target a constant LCR. Our estimates are based on LCR data observed for the first quarter of 2025.

The estimated pass-through rate varies significantly across the illustrative examples, driven by differences in issuer type, reserve allocations and liquidity management. Table 2 summarises the results. The pass-through rate of the three largest euro-denominated stablecoin issuers, which consists of an indirect and direct component, is estimated to be 0.87. This means that for every euro of stablecoin adoption the sovereign bond exposures increase by 87 cent. As two of these stablecoin issuers are EMIs and back their stablecoins with deposits, the estimated pass-through rate for the illustrative example of EMI-issued stablecoins backed by deposits is quite close to this measure (0.86). Among the other illustrative examples, the largest pass-through rate is estimated for a stablecoin issued by a liquidity risk averse bank. This type of stablecoin issuer is assumed to have a relatively high LCR target and a strong preference for sovereign bonds, resulting in a pass-through rate of 1.26. Pass-through rates above 1 can occur when banks, lacking sufficient HQLA, must purchase more sovereign debt than the inflows from stablecoins to meet the LCR requirement. The smallest footprint is also associated with a bank-issued stablecoin, but one with a relatively low LCR target and low preference for sovereign bonds, resulting in a pass-through rate of 0.31. A stablecoin issued by a bank with a median liquidity risk tolerance leads to a pass-through rate of 0.74. The scenarios for the other EMI-issued stablecoins fall between the two extreme cases for bank-issued stablecoins, with the "sovereign bond-backed" EMI-issued stablecoin achieving a higher pass-through rate of 0.91, while the "covered bond-backed" EMI-issued stablecoin scenario yields a pass-through rate of 0.56.

Table 2

Estimated pass-through rate of stablecoin inflows into the sovereign bond market

	Three largest euro stablecoins	EMI-issued stablecoins			Bank-issued stablecoin		
Examples	Observed	Deposit- backed stablecoin	Sovereign bond- backed stablecoin	Covered bond - backed stablecoin	Liquidity risk averse bank	Median liquidity risk bank	Liquidity risk tolerant bank
Direct holdings	0.08	0	0.40	-	1.26	0.74	0.40
Indirect exposures	0.79	0.86	0.51	0.56	0	0	0
Pass-through rate (sum of direct and indirect exposures)	0.87	0.86	0.91	0.56	1.26	0.74	0.40

Notes: This table presents the estimated pass-through rates for the three largest euro-denominated stablecoin issuers – with a market capitalisation of 0.45 billion on 20/02/26 – and the pass-through rates for the six illustrative scenarios. In the observed scenario, the pass-through rate for the three largest stablecoins (EURC, EURCV and EURI) is estimated based on their reported reserve asset composition and banking relationships. The deposit-backed EMI-issued stablecoin scenario assumes 100% backing by bank deposits. The sovereign bond-backed EMI-issued stablecoin scenario assumes 60% backing by deposits and 40% by sovereign bonds, whereas the covered bond-backed EMI-issued stablecoin scenario assumes 65% backing by deposits and 35% by covered bonds. The liquidity risk averse bank-issued stablecoin assumes a LCR target equal to the asset-weighted 80th percentile of current LCR level (equal to 1.82) and a share of sovereign bonds in the HQLA portfolio equal to the asset-weighted 80th percentile of observed values (equal to 68%). The liquidity risk tolerant bank-issued stablecoin scenario assumes both measures to be equal to the asset-weighted 20th percentile (equal to 1.40 and 22% respectively). The median bank has an LCR of 1.47 and a sovereign share of 50%. The sample is from Q1 2025 and includes 1,940 banks.

3 The impact of stablecoin adoption on the net demand for sovereign bonds

The growth of the stablecoin sector may affect the net demand for sovereign bonds, depending on which sector funds the stablecoin purchases. The previous section described the determinants of the pass-through of stablecoin adoption to the sovereign bond holdings of stablecoin issuers. In equilibrium, the

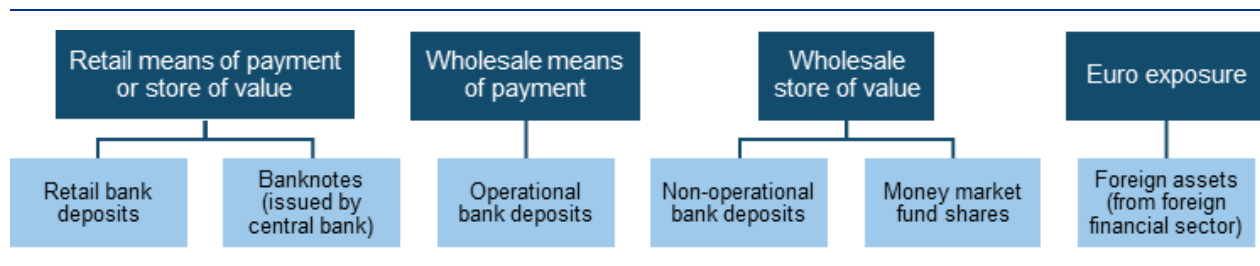
impact on the net demand for sovereign bonds also depends on the degree to which other sectors substitute their demand for sovereign bonds in response. Understanding this “net demand effect” – i.e. the pass-through of stablecoin adoption to aggregate holdings of sovereign bonds – is critical for assessing how stablecoin adoption could influence broader fiscal and market dynamics such as sovereign borrowing costs, the maturity composition of issuance, collateral scarcity and market liquidity. In this section, we first explain how the prevailing stablecoin use cases drive the net demand effect, shedding light on which sectors may reallocate funds to stablecoins. We then explore, from a theoretical perspective, how the impact on net demand is determined by the interplay between the type of issuer and the exact type of funds exchanged for stablecoins. Notably, in this section we take a simple partial-equilibrium approach^[16] and do not consider the possible responses of other participants in the sovereign bond markets. We illustrate the possible pass-through effect on net holdings of sovereign bonds across the examples presented in Section 2, while assuming for simplicity that the aggregate supply adjusts to clear the market and ignoring price effects.^[17]

3.1 The relevance of different stablecoin use cases

The impact of stablecoin adoption on net sovereign bond demand largely depends on the specific use case driving stablecoin uptake and the sector supplying the funds exchanged for stablecoins. Stablecoin adoption may be driven by different use cases, which in turn may lead to different parts of the financial sector experiencing an outflow of funds as portfolio allocations are shifted towards stablecoins.^[18] For example, if stablecoins were primarily used for retail payments, households would likely substitute stablecoins for retail deposits. If stablecoin holders from outside the euro area would use euro-denominated stablecoins as a store of value, they may substitute euro banknotes or foreign assets. We focus on four sectors that may experience outflows due to a stablecoin uptake, namely domestic banks, the foreign financial sector, the central bank and money market funds (**Figure 3**).

Figure 3

Possible stablecoin use cases and sources of funds



Note: This chart illustrates possible use cases for euro-denominated stablecoins, and subsequent sources of funds exchanged for stablecoins.

Each sector is expected to adjust its demand for euro area sovereign bonds differently in response to an outflow of their funding. Table 3 outlines the key factors influencing these balance sheet adjustments. For

banks, the balance sheet varies depending on the specific type of deposit being replaced, as specific types are subject to different regulatory liquidity treatment.

Table 3

Key factors influencing balance sheet adjustments across sectors

Sector	Balance sheet item substituted	Determinant of offsetting effect
Domestic banks	Retail deposits	LCR outflow rate (5% if stable, 10% if other)
	Operational deposits	LCR outflow rate (25%)
	Non-operational deposits by non-financial customers	LCR outflow rate (20% if insured, 40% if not)
	Non-operational deposits by financial customers	LCR outflow rate (100%)
Central bank	Banknotes	Balance sheet policy
Money market funds	Money market fund shares	Share of euro sovereign bond funds
Foreign institutions	Foreign assets	N/A

Note: This table summarises the determinants of the offsetting effect on the demand for sovereign bonds resulting from a funding outflow across sectors and balance sheet items.

3.2 The offsetting effects on net sovereign bond demand

Since the potential source of future stablecoin demand is uncertain, it is useful to compare its possible impact against a simple theoretical benchmark scenario. To illustrate how, in theory, the many combinations of stablecoin issuers and sources of stablecoin demand could affect the net demand for sovereign bonds, we first define a “neutrality benchmark” for each type of issuer. Under the assumptions of the neutrality benchmark, the growth of euro-denominated stablecoins is assumed to be irrelevant to the net demand for sovereign bonds, meaning that even if stablecoins became very large, the net demand for sovereign bonds would not change. We subsequently change the assumptions of the neutrality benchmark

one by one to explain how and why these alternative assumptions lead to a higher or a lower net demand for sovereign bonds (i.e. non-neutrality).

3.2.1 A stablecoin issued by a bank

The neutrality benchmark for a stablecoin issued by a bank is defined by a substitution between the non-operational deposits of financial customers and stablecoins issued by the same bank. In this case, the bank would switch between two types of liabilities that are both subject to a 100% outflow rate for the calculation of its LCR. This means that stablecoin uptake would not change the bank's demand for sovereign bonds.

The net demand for sovereign bonds can increase when measured against the neutrality benchmark, even if stablecoin holders substitute deposits from the issuing bank. When a customer of a bank depletes deposits with an LCR outflow rate lower than 100% (such as retail deposits, operational deposits or non-operational deposits by non-financial customers) in order to hold the bank's stablecoin, the LCR of the bank decreases because the customer has moved into a liability item with a higher outflow rate. If the bank wants to keep its LCR constant, it needs to alter either its asset composition or liability structure. On the asset side, it could obtain additional HQLA, such as sovereign bonds for instance funded by long-term debt issuance, to avoid a simultaneous increase in its expected outflows.

When the demand for stablecoins originates from other banks, causing a redistribution of funds between banks, the net demand for sovereign bonds deviates from the neutrality benchmark. This deviation occurs even if the deposits originating from a different bank have the same LCR outflow rate as stablecoins. As explained in Section 2, banks have varying liquidity risk preferences (**Chart 1**). Therefore, a redistribution of liabilities across banks with different preferences could change the net demand for sovereign bonds.

Another factor contributing to non-neutrality arises when stablecoin uptake is funded with sources from outside the banking sector. When investors substitute their money market fund (MMF) shares with stablecoins, the MMF sector's demand for sovereign bonds decreases, as it requires fewer reserve assets.

3.2.2 A stablecoin issued by an EMI

The neutrality benchmark for an EMI-issued stablecoin is met when the EMI exclusively holds reserves in the form of deposits that are equivalent in value and originate from the same banks as those used to purchase the EMI stablecoin. Deposits placed with banks by EMIs are subject to a 100% outflow rate. Consequently, replacing non-operational deposits by financial customers, which also carry a 100% outflow rate, with EMI deposits does not affect a bank's liquidity metrics.

The conceptual non-neutrality scenarios that apply to bank-issued stablecoins also apply to EMI-issued stablecoins. Similarly to a bank-issued stablecoin, the demand for sovereign bonds changes when deposits with an outflow rate lower than 100% are substituted. This effect can be either amplified or mitigated depending on whether the EMI chooses to deposit its reserves with banks unaffected by the deposit outflows. In addition, non-neutrality also occurs when EMIs hold part of their reserves in reserve assets other than bank deposits, such as sovereign bonds or covered bonds.

3.3 The pass-through from stablecoin adoption to the net demand for sovereign bonds

We illustrate the impact of stablecoin adoption on the net demand for sovereign bonds, considering various sources of stablecoin adoption. Table 4 presents our estimates of the pass-through rates of stablecoin demand to the net demand for sovereign bonds across stablecoin use cases and the illustrative examples of issuer and reserve types previously outlined in Section 2.2. We employ a partial-equilibrium approach: for simplicity we assume that the aggregate supply adjusts to clear the market, and we ignore price effects. To account for the uncertainty as to which sectors may experience outflows, our analysis considers outflows from different asset classes sequentially.^[19] This means that we separately estimate the non-neutrality implications stemming from the different sources of stablecoin funding and their respective regulatory treatment. In the event of deposit withdrawals from the banking sector, we assume that deposit withdrawals are evenly spread out across all euro area banks in proportion to their current total assets. Furthermore, we assume that all banks that experience deposit outflows respond exclusively by selling sovereign bonds to avoid an increase in their LCR. This assumption likely leads to an overestimation of the offsetting effects attributed to banks, as in reality they may also seek alternative responses, such as replacing withdrawn deposits with other funding sources, including central bank funding and/or selling assets other than sovereign bonds.

The estimated pass-through rate to the net demand for sovereign bonds is at most equal, and potentially smaller, than the estimated pass-through rate to the stablecoin sector's potential sovereign bond holdings. First, when stablecoins are used to gain exposure to the euro and foreign assets are substituted, we assume that there are no offsetting sales of euro area sovereign bonds from the foreign sector experiencing the outflow. In this case, the pass-through rate from stablecoin adoption to the demand for sovereign bonds equals the increase in stablecoin issuers' sovereign bond holdings. Second, the offsetting effects are small when stablecoins are acquired using retail deposits. This is because retail deposits have an expected outflow of 5% when calculating the LCR, meaning that the need for banks to hold sovereign bonds as HQLA to cover expected outflows changes relatively little. Third, offsetting effects are largest when non-financial customers withdraw their non-operational deposits, which could be the case when stablecoins are used as a wholesale store of value. In that case, the need for banks to hold sovereign bonds as HQLA to cover expected outflows decreases significantly, as non-operational deposits have an expected outflow of 100% in the LCR calculation. In this case, the pass-through rate from stablecoin demand to the net demand for sovereign bonds could even be negative in certain scenarios – implying a decrease in sovereign bond net demand – because the decrease of the sovereign bond holdings by banks experiencing deposit outflows exceeds the holdings of stablecoin issuers.

Table 4

Estimated pass-through of stablecoin adoption to the net demand for sovereign bonds

Stablecoin use case	Source of stablecoin demand	EMI-issued stablecoins			Bank-issued stablecoins		
		Deposit-backed stablecoin	Sovereign bond-backed stablecoin	Covered bond-backed stablecoin	Liquidity risk averse bank	Median liquidity risk bank	Liability risk bank
Retail means of payment or store of value	Retail deposits	0.80	0.88	0.52	1.20	0.68	0.00
	Banknotes	Depends on monetary policy choices					
Wholesale means of payment	Operational deposits	0.60	0.76	0.39	1.05	0.53	0.00
Wholesale store of value	Non-operational deposits by non-financial customers	0.44	0.66	0.28	0.91	0.39	-0.01
	Non-operational deposits by financial customers	-0.04	0.37	-0.03	0.45	-0.07	-0.01
	Money market fund shares	0.82	0.87	0.52	1.22	0.70	0.00
Euro exposure	Foreign assets	0.86	0.91	0.56	1.26	0.74	0.00



Notes: This figure presents the estimated impact on the net demand for sovereign bonds across scenarios and stablecoin use cases. In the event of an outflow of deposits, it is assumed that all banks lose deposits proportionally to their total assets, i.e. larger banks experience a larger withdrawal of retail deposits. In the first quarter of 2025, according to ECB's statistical data warehouse, the money market fund sector held approximately €80 billion in euro area sovereign bonds, equal to around 4% of total money market fund assets. We assume this proportion to be constant. The sample is from Q1 2025 and includes 1,940 banks.

4 Contagion during times of crisis

Large stablecoins with significant holdings of euro area sovereign debt would increase the interlinkages between the crypto-asset ecosystem and traditional finance, amplifying potential spillover risk.

Stablecoins are a critical part of the crypto-asset ecosystem. Redemptions of stablecoin reserve assets during periods of stress in the stablecoin market or the crypto-asset ecosystem more broadly may have financial stability implications. For example, large redemptions could force stablecoin issuers to sell reserve assets – including sovereign bonds – exposing these markets to price drops and fire sales.

The impact of a stablecoin run on euro area sovereign bond markets would depend on the size and type of stablecoin issuer, as well as the size of the affected sovereign bond market. The extent and channel of possible spillover effects would vary based on the size of the future euro-denominated stablecoin market and whether the issuer is a bank or an EMI, as their pass-through to the sovereign bond market differs (see Section 2). The eventual impact is also partly determined by which assets stablecoin users run to. For example, if the run saw stablecoin users place their withdrawn funds in bank deposits, that would likely lead to at least some purchases of sovereign bonds, as banks hold HQLA to back the deposits.

For EMI issuers, MiCAR's bank deposit requirement can act as a liquidity buffer that reduces the likelihood of immediate sovereign debt sales in a run scenario. Significant EMI-issued stablecoins could meet redemptions of up to 60% of their stablecoin supply by drawing down bank deposits, avoiding the need to sell sovereign bonds.^[20] Historical comparisons suggest that such a scenario would represent a massive run. For instance, in the early stages of the COVID-19 pandemic, most severely impacted cohort of MMFs experienced outflows of 16%^[21], and during the March 2023 banking turmoil, USDC's market capitalisation fell by 26% in a month.^[22]

However, the bank deposit requirement could also transmit stress from a stablecoin run to the banking system. To mitigate risks to banks, draft regulatory standards propose limits on deposit concentration.^[23] Specifically, deposits held with a single credit institution must not exceed 25% of the reserve assets if the bank is systemically important, with stricter limits for smaller banks. Furthermore, individual banks' exposure to any single stablecoin is capped at 1.5% of total bank assets. This regulatory approach aims to reduce contagion risks to the banking sector by diversifying deposits across banks while relying on banks' ability to access liquidity from a range of sources, including wholesale markets and central bank facilities.

The extent of diversification across sovereign debt issuers also plays a critical role in determining spillover effects. Diversifying sovereign bond reserve assets across multiple sovereigns would help mitigate the impact on individual sovereign bond issuers in a run scenario where EMIs or bank issuers are forced to sell sovereign bonds. If stablecoin reserves are heavily concentrated in the bonds of a small

number of sovereign issuers, forced liquidation during a run on stablecoins could exacerbate stress in those markets, leading to price volatility and increased yields. Conversely, stress in sovereign debt markets (which could originate from adverse fiscal developments in certain countries) could prompt redemptions from stablecoins with concentrated investment in the affected countries. This would force stablecoin issuers to sell assets, potentially creating a destabilising feedback loop of declining sovereign bond prices and deterioration of the stablecoin issuer's balance sheet. To this end, draft EU standards propose several safeguards to limit contagion between the stablecoin sector, banks and sovereign bond markets. Under draft regulatory standards, in addition to the above-mentioned deposit concentration limits, up to 35% of reserve assets can be allocated to a single sovereign issuer.

5 Conclusion

Although the market capitalisation of euro-denominated stablecoins is modest, there is significant potential for expansion, particularly when compared with the much larger USD-denominated stablecoin market. Broader adoption of DLT across the financial system, paired with increasing regulatory clarity related to stablecoins and their potential role as private settlement assets, creates the potential for growth. Of course, this will depend on market participants' evolving preferences, which will determine whether stablecoins are adopted more widely, including for uses outside the crypto-asset ecosystem.

Strong growth in euro-denominated stablecoins could increase their relevance for euro area sovereign bond markets. The impact of such growth on sovereign bond markets will depend on the composition of stablecoin issuers' reserves, whether stablecoins are issued by banks or EMIs, and the liquidity management preferences of those banks and EMIs. Moreover, the net effect on sovereign bond demand hinges on the sectoral origins of stablecoin inflows, which will vary based on what stablecoins are used for in the future. For instance, net demand for sovereign bonds is higher when stablecoins replace retail deposits than it is when stablecoins substitute non-operational deposits held by businesses. Stablecoins will therefore impact sovereign bond markets differently depending on whether they gain a foothold for retail use or for wholesale purposes.

Interlinkages and potential spillover risks between the crypto-asset ecosystem and traditional finance increase when stablecoin issuers hold large amounts of sovereign debt. The extent and channel of possible spillover effects will vary based on the size of the future euro-denominated stablecoin market and the sovereign bond market pass-through rate. For EMIs, MiCAR's bank deposit requirement in this context is multifaceted. On the one hand, it could act as a liquidity buffer that reduces the likelihood of immediate reserve asset sales (including sovereign debt) in a stablecoin run scenario. Redemptions would need to first deplete the bank deposits in the stablecoin reserve to trigger the sale of sovereign bonds. On the other hand, the bank deposit requirement could also transmit the financial stress caused by a stablecoin run to the banking system. Furthermore, spillover effects would depend on whether the stablecoin issuers were heavily concentrated in a small number of sovereign issuers or more diversified in their investments.

The authorities should continue to identify, measure and mitigate new risks and interconnections as they are emerging. This holds true for risks that exist both within the crypto-asset ecosystem and those that arise from interconnections between the crypto-asset ecosystem and traditional financial markets. MiCAR

provides a robust regulatory framework for euro-denominated stablecoins to develop. Notably, the European Banking Authority's draft regulatory technical standards propose several safeguards designed to mitigate contagion risks between the stablecoin sector, banks and the sovereign bond markets. With well-defined safeguards, this supportive EU framework will continue to allow the private sector to innovate, without undermining financial stability.

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1.

Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on markets in crypto-assets (OJ L 150, 9.6.2023, p. 40).

2.

Throughout this article, the term "government bonds" refers to government-issued securities of all maturities.

3.

This includes only MiCAR authorised euro-denominated stablecoins according to ESMA's [Interim MiCA Register](#).

4.

This refers to payments outside the crypto-asset ecosystem and outside the EU.

5.

Stablecoins would act as a private tokenised settlement asset alongside other private settlement assets such as tokenised deposits and public tokenised settlement assets. See the [Eurosystem's comprehensive payment strategy](#), published on 31 March 2026.

6.

See the [ECB press release](#) and [Appia – paving the way for a future-ready, integrated financial ecosystem leveraging tokenisation and DLT](#) published on 11 March 2026. As highlighted in the Appia roadmap "offering a trusted public settlement asset in tokenised form in euro would support the safe development of regulated private settlement assets in euro (like tokenised deposits or stablecoins), allowing the private sector to innovate while remaining anchored to central bank money."

7.

"Credit institutions" are defined in Article 4 of the EU's Capital Requirements Regulation.

8.

Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on markets in crypto-assets (OJ L 150, 9.6.2023, p. 40).

9.

In the EU, banks use both models. For example, EURCV is issued by SG-FORGE, a subsidiary of Société Générale with an EMI license, using the asset-backed model, while Banking Circle S.A. issues EURI and ODDO BHF issues EUROD using the balance sheet model. For further details, see Aerts et al. (2025).

10.

See [EBA Final report on the Draft Regulatory Technical Standards to further specify the liquidity requirements of the reserve of assets under Article 36\(4\) of Regulation \(EU\) 2023/1114](#), European Banking Authority, June 2024. Covered bonds are capped at 35% of the EMI's reserve assets.

11.

Notably, the situation would be different under the requirements foreseen under the Genius Act in the US, because banks will not be subject to leverage ratio and risk-based capital requirements for their stablecoin issuance business on a consolidated basis.

12.

Pursuant to Art. 114 CRR, exposures to Member States' central governments denominated and funded in the domestic currency of that central government are assigned a risk weight of 0%.

13.

This seems to be the case for most stablecoins currently issued. As explained by Coste (2024), there may be different ways for banks to identify the type of ultimate holder, including through the use of smart contracts. For simplicity, we assume here that in the current set-up this is not possible, given the challenges associated with tracing stablecoin holders. We assume that all of a bank's issued stablecoins receive a 100% outflow rate in line with the current LCR framework, which however does not cover stablecoins specifically.

14.

The LCR framework requires that the expected market value of a bank's unencumbered high-quality liquid assets exceeds its expected net outflows within a 30-day stress period. Instead of increasing its HQLA holdings, a bank could also avoid a drop in its LCR by decreasing its net expected outflows, for instance by substituting short-term wholesale funding with bond issuance.

15.

To date, EURC, the largest euro-denominated stablecoin in terms of its market capitalisation, is issued by the EMI Circle Europe and is fully backed by deposits. Similarly, EURCV is issued by SG-FORGE, a subsidiary of Société Générale with an EMI licence, and is also fully backed by deposits. In contrast, the euro-denominated stablecoins EURI and EUROD are issued directly by banks – Banking Circle S.A. and ODDO BHF, respectively. For further details, see Aerts et al. (2025).

16.

For simplicity, this partial equilibrium analysis does not consider price effects and assumes that aggregate supply adjusts to clear the market.

17.

Stablecoins' effect on net demand could have implications for sovereign bond prices in a similar manner to quantitative easing (Koijsen et al., 2021).

18.

For an overview of the different use cases for stablecoins, see Adrian et al. (2025).

19.

In reality, however, outflows are likely to stem from multiple asset types or demand sources simultaneously, depending on the prevailing use case.

20.

The EMI may already sell sovereign bonds before having exhausted the deposits fully. This would depend on different factors, including risk appetite and the length and speed of the run. In addition, it is possible that the bank sells some of its sovereign debt holdings when the EMI withdraws its deposits.

21.

The worst affected cohort were LVNAV funds, who experienced an outflow of 16% between 11 and 25 March 2020 (Capotă et al., 2021). LVNAV funds – authorised in the EU under the Money Market Fund Regulation – can deal at a constant price per share (e.g. USD 1.00) provided they exhibit only very small fluctuations in the mark-to-market value of the portfolio.

22.

For an overview of the market stress experienced by USDC, see Du et al. (2025).

23.

See [EBA Final report on the Draft Regulatory Technical Standards to further specify the liquidity requirements of the reserve of assets under Article 36\(4\) of Regulation \(EU\) 2023/1114](#) (EBA Draft RTS), European Banking Authority, June 2024.